

This about sums up how I go about finding growth stocks. Possibly one-fifth of my first investigations start from ideas gleaned from friends in industry and four-fifths from culling what I believe are the more attractive selections of a small number of able investment men. These decisions are frankly a fast snap judgment on which companies I should spend my time investigating and which I should ignore. Then after a brief scrutiny of a few key points in an SEC prospectus, I will seek “scuttlebutt” aggressively, constantly working toward how close to our fifteen-point standard the company comes. I will discard one prospective investment after another along the way. Some because the evidence piles up that they are just run of the mill. Others because I cannot get enough evidence to be reasonably sure one way or the other. Only in the occasional case when I have a great amount of favorable data do I then go to the final step of contacting the management. Then if after meeting with management I find my prior hopes pretty well confirmed and some of my previous fears eased by answers that to me make sense, at last I am ready to feel I may be rewarded for all my efforts.

Because I have heard them so many times, I know the objections a few of you will make to this approach. How can anyone be expected to spend this amount of time finding just one investment? Why are not the answers already neatly worked out for me by the first person in the investment business to whom I ask what I should buy? I would ask those with this reaction to look at the world around them. In what other line of activity could you put \$10,000 in one year and ten years later (with only occasional checking in the meantime to be sure management continues of high caliber) be able to have an asset worth from \$40,000 to \$150,000? This is the kind of reward gained from selecting growth stocks successfully. Is it either logical or reasonable that anyone could do this with an effort no harder than reading a few simply worded brokers' free circulars in the comfort of an armchair one evening a week? Does it make sense that anyone should be able to pick up this type of profit by paying the first investment man he sees a commission of \$135, which is the New York Stock Exchange charge for buying 500 shares of stock at \$20 per share? So far as I know, no other fields of endeavor offer these huge rewards this easily. Similarly, they cannot be made in the stock market unless you or your investment advisor utilize the same traits that will bring large rewards in any other field of activity. These are great effort combined with ability and enriched by both